

PHOTO BY **BANDEEP SINGH**



MUKESH AMBANI, CHAIRMAN & MANAGING DIRECTOR, RELIANCE INDUSTRIES

FUTURE TENSE

Amazon's proposed buyout of Future Retail has been locked in courtroom battles for years and is unlikely to have a quick resolution

► **The deal to acquire** the Kishore Biyani-promoted Future Retail should have been a breeze for e-commerce giant

Amazon. Instead, it is locked in a legal battle with no clarity on the outcome.

In 2019, Amazon picked up a 49%

stake in Future Coupons, giving it an indirect 4.81% stake in Future Retail, which owned Big Bazaar, FBB, Easyday and a host of other retail formats. This deal is said to have given Amazon the right of first refusal over acquiring Future Retail. Once the pandemic hit, Biyani's businesses, already heavily leveraged, were in a very challenging position. In August 2020, Reliance Retail agreed to buy out the wholesale, retail and logistics businesses of Future Group for ₹24,713 crore. Amazon cried foul, and approached the Singapore International Arbitration Centre. It got more complicated in February 2022 when Reliance took charge of 835 Future Retail stores across formats at prime locations. Future Retail had lease agreements with various owners; now, Reliance entered into fresh agreements with them, becoming the new tenant. The stores were then rebranded; for instance, Big Bazaar became Smart Bazaar, with the Reliance group logo.

Offline retail is a significant opportunity in India—one that Amazon must crack. It already is a joint

TWISTS AND TURNS

► **AUGUST 2019**

Amazon acquires 49% stake in Future Coupons for ₹1,500 crore; gets indirect 4.81% stake in Future Retail Ltd (FRL)

► **AUG-OCT 2020**

Reliance Retail agrees to buy Future Group's retail, wholesale, and logistics businesses; Amazon approaches the Singapore International Arbitration Centre

► **NOVEMBER 2020**

CCI gives nod for FRL buyout; Sebi okays deal in January; Reliance takes over lease for FRL's stores

► **AUG-DEC 2021**

Amazon wins case in Supreme Court; CCI penalises Amazon and suspends Future Coupons deal

► **FEB-MARCH 2022**

Reliance Retail terminates the lease of over 800 stores owned by FRL and takes complete charge of these stores

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else, and it was done in line with the emerging trend”.

Neil Shah, Research Vice President and Partner at Counterpoint Research, a global tech industry research firm, points out that Amazon came into India late but with a strong brand and reputation. “They also had set processes and global-scale experience running

billions of dollars of e-commerce operations. It became easier for them to scale up quickly with the right local talent and a level of localisation that aligned well with the Indian consumers,” he says.

Jaspreet Bindra, Founder of consulting firm Tech Whisperer UK, says that Amazon did not treat the Indian business as an

extension of the US. “Amazon has taken a more long-term approach here with a lot of emphasis on localisation initiatives. They needed a large market like India since China was difficult for political and localisation reasons,” he says.

He cites Amazon's tech prowess, especially in machine learning and deep learning. “It put